Conclusion

Plaintiff's Motion for Reconsideration is **denied**.

6. 9:00 AM CASE NUMBER: C25-01427
CASE NAME: AUGUST BLASS VS. CAL PRIVATE BANK,
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: JASON W. ESTAVILLO**
FILED BY: BLASS, AUGUST
****TENTATIVE RULING:****

The motion to be relieved as counsel is granted and shall be effective upon the filing of the proof of service of the signed order upon the client.

7. 9:00 AM CASE NUMBER: C25-01488
CASE NAME: JACQUELINE NAMPEERA VS. CMG MORTGAGE, INC.
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: CMG MORTGAGE, INC.
****TENTATIVE RULING:****

Introduction

Before the Court is Defendant CMG Mortgage, Inc.'s (CMG or Defendant) Motion To Compel Plaintiff Jacqueline Nampeera's individual claims to binding arbitration and stay this civil action until arbitration is complete. The Motion relates to Plaintiff's Complaint for (1) Private Attorneys General Act (Lab. Code § 2698, et seq.).

Supplemental Briefing

This motion was first heard on December 5, 2025, in Department 18 of the Contra Costa Superior Court, the Honorable Danielle Douglas, presiding. Karen Gold appeared for Plaintiff while Sarju A. Naran appeared for Defendant.

Plaintiff argued at the hearing that Defendant brought new evidence in its Reply papers and declarations and stated it would be unfair for Plaintiff not to have the opportunity to brief the new evidence. The Court agreed and granted the Partes the opportunity for supplemental briefing Defendant's new evidence brought up its reply papers.

EFAA Does Not Apply Despite the Ruling in Plaintiff's RJN Ex. 1

Plaintiff posits that the ruling made in Department 16 in Contra Costa County Case No. C25-01575 forwards the proposition that Plaintiff's allegations have alleged a combination of gender and racial harassment as defined by the EFAA. Taking a closer look at the order, it is not the case.

In the Prevost v CMG Mortgage, Inc (Plaintiff's RJN Ex. 1) case, the argument forwarded by Defendant was that the EFAA did not apply because Plaintiff failed to allege severe and pervasive harassment that was not sexual in nature. Here, the argument asserted by Defendant is that Plaintiff failed to adequately allege a gender discrimination or harassment cause of action. (Reply at p.5: 18-28.)

In any event, non-binding Superior Court orders and transcripts for a similar type of case with different facts is not relevant here. "Trial court decisions are not precedents binding on other courts under the principle of stare decisis." (*Harrott v. County of Kings* (2001) 25 Cal.4th 1138, 1148.)

Defendant Met its Burden by Preponderance of the Evidence that Plaintiff Signed Both Arbitration Agreements

First, the Court does not agree that the envelope ID makes all DocuSign documents unreliable, the Court believes that Defendant CMG satisfactorily explained how the envelope ID was accidentally altered in its Reply declarations. The Court declines to rule on Plaintiff's objections as they are not in proper form. (See Cal. Rules of Court, rule 3.1354).

Second, the Court is not convinced of Plaintiff's position that there is uncontroverted testimony that others could access Plaintiff's work email. (Oppo at p.6: 10-13.) Plaintiff asserts that her email account did not require a password, meaning the email application opened automatically without prompting for entry of a password. (Nampeera Decl. ¶ 6.) However, there is some key context missing. Plaintiff was working remotely in Irvine (Southern California) while the main office was in San Ramon (Northern California). Plaintiff could only sign in into Defendant CMG's systems and server by a forward-facing VPN which does require a password. In other words, Plaintiff had to sign into a secured VPN to open her email and work from home, and Plaintiff has yet to describe circumstances of how other employees could have access to her email if she had to securely sign into her VPN and she worked from home approximately 500 miles from Defendant CMG's main office.

On balance, the supplemental briefing has not swayed the Court to change its initial ruling.

For the reasons described, Defendant CMG Mortgage, Inc.'s Motion to Compel Arbitration is **granted**. The Parties are ordered to submit this matter to arbitration in accordance with the terms of the Arbitration Agreement. The Court orders this matter to be **stayed in full**, pending conclusion of the arbitration.

Procedural Background

On May 28, 2025, Plaintiff filed the Complaint alleging thirteen causes of action based on discrimination, harassment, wrongful termination, and retaliation. (See Naran Decl., at ¶ 3.) This case is still in its infancy. No deadlines have passed, no court proceedings have occurred, and the instant motion constitutes Defendant's first substantive filing. The parties have not engaged in discovery or taken any other steps that could suggest an intent to waive Defendant's right to arbitrate the current dispute.

Factual Background

CMG is a mortgage lending and financing company, and Plaintiff Jacqueline Nampeera worked for CMG as an hourly, non-exempt Compliance Specialist from on or around December 2020 through July 2023, working remotely from Irvine, California, and reporting to San Ramon, California. (Harbourne Decl., at ¶ 4.) As a term and condition of Plaintiff's employment, upon hire in 2020, Nampeera signed a standalone arbitration agreement with CMG via her personal email address. (Id., at ¶¶ 4-5, 8-10.) CMG routinely renews and updates its arbitration agreements and asks its employees to sign the renewed/updated agreements. (Id., at ¶ 5.) Most recently, as applied to Plaintiff, CMG renewed its arbitration agreement in April 2021, and CMG asked Nampeera (and other employees Company-wide) to execute that agreement by no later than April 26, 2021. (Id., at ¶¶ 7,11.) Nampeera executed the 2021 agreement the very next day after receiving it, on April 2, 2021, via DocuSign. (Id., at ¶ 12.). Both the 2020 and 2021 Agreements state:

> Employee and CMG each agree that **any dispute, claim, or controversy arising out of relating to Employee's employment with CMG, including but not limited to, any claim by the Employee for wrongful termination or employment discrimination** ,,, shall be submitted to binding arbitration before a sole, neutral arbitrator selected by the parties.

(Harbourne Decl., at ¶¶ 9, 12, Exhibits A, D at ¶ 3 [**emphasis added**].)

Legal Standard for Motions to Compel Arbitration

A motion to compel arbitration "is in essence a suit in equity to compel specific performance of a contract." (*Cal. Teachers Ass'n v. Governing Bd.* (1984) 161 Cal.App.3d 393, 399, citation omitted.) "A party who files a motion to compel arbitration 'bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580 quoting *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) Whether or not the arbitration clause is governed by federal law, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp*. (1996) 14 Cal.4th 394, 413 ("Rosenthal").)

If the existence of the arbitration agreement is challenged, "the burdens of production shift in a three-step process." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) If the moving party meets its burden of proving the existence of a written agreement to arbitrate the dispute but the opposing party disputes the existence of a valid agreement, "then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement." (Id.) The opposing party meets its burden in several ways, that may include "testify[ing] under oath or declar[ing] under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement." (Id.) "If the opposing party meets its burden, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. (Id.) The burden of proving the agreement by a preponderance of the evidence remains with the moving party." (Id.)

Throughout this process, "[t]he trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (*Ruiz v. Moss Bros. Auto Group, Inc*. (2014) 232 Cal.App.4th 836, 842.) Notwithstanding the burden-shifting that may occur to produce evidence, "[t]he burden of persuasion is always on the moving party to prove the existence of an arbitration agreement by a preponderance of the evidence." (*Gamboa*, 72 Cal.App.5th, at 164-165.)\

Analysis

EFAA

Section 401 of the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act ("EFAA") defines a sexual harassment dispute as "a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law." (9 U.S.C. § 401(a)(4).) Fair Employment and Housing Act ("FEHA") under California Government Code sections 12940, et seq. recognizes two types of sexual harassment claims: quid pro quo harassment, which is not at issue here; and hostile work environment harassment, i.e., "the creation of a work environment that is hostile or abusive on the basis of sex." Miller v. Department of Corrections, 36 Cal.4th 446, 461 (2005). Because Plaintiff has alleged hostile work environment harassment based on gender, the entire action is exempt from arbitration, including claims not related to the alleged sexual harassment. (See 9 U.S.C §§ 401-402; *Doe v. Second Street Corp*. (2024) 105 Cal.App.5th 552, 577 (the EFAA exempt the entire case from arbitration).)

Plaintiff argues that her fourth through sixth claims are for gender-based discrimination and harassment in violation of FEHA and thus exempt from arbitration under the EFAA. (Complaint, at ¶¶ 67-90; See also 9 U.S.C. §§ 401-402.)

Defendant argues that Plaintiff's gender-based claims are a sham because it is facially evident from the Complaint that nearly every factual allegation concerns race and that the Complaint is void of any facts that Plaintiff had any action taken against her due to her gender. (Reply at p. 5: 21-28.) This Court agrees.

The Complaint does not contain the words woman, lady, body, or sex. The word female shows up five times to describe the Plaintiff, the other actors in the office, and protected classes. The word gender is used five times in Plaintiff's factual allegations section of her Complaint and every single time it appears it is in the context of canned response that actions were taken against her based on " her race, gender, and/or age." Nearly every factual allegation concerns race, including race-based targeting (see Complaint at ¶ 12), disproportionate termination of African American employees (Id., at ¶¶ 21-25), race-based hostility from coworkers and supervisors (Id., at ¶¶ 20, 29), mocking Plaintiff's African heritage (Id., at ¶ 20), and increased scrutiny allegedly tied to race (Id., at ¶ 38).

Plaintiff "must allege" supporting detail that leads the Plaintiff to believe her allegations are true. (*Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106, [citing *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551, fn. 5 (quotations omitted)].) Further, harassment claims require specific factual allegations showing conduct directed at the plaintiff because of the protected characteristic. (*Lyle v. Warner Brothers Television Productions* (2006) 38 Cal.4th 264, 282 [factual allegations that use certain terminology "is not so sex-specific and derogatory that its mere use necessarily constitutes harassment because of sex."] (citations omitted).)

Since Plaintiff's Complaint contains no factual allegations that anyone said or did anything to Plaintiff because of her gender, Plaintiff's claims are not subject to the EFAA exemption to arbitration.

Defendant's Initial Burden

For arbitration to be compelled, the Court need only determine that (1) a valid agreement to arbitrate exists; and (2) the agreement to arbitrate encompasses the dispute at issue. (*Howsam v. Dean Witter*

Reynolds (2002) 537 U.S. 79, 84.)

Here, Defendant CMG provides copies of both the 2020 and 2021 Arbitration Agreements. Plaintiff does not dispute that this is a copy of the Contract or the Arbitration Agreement. (See Harbourne Decl., Exs. A and D.) Defendant asserts that the scope of the Arbitration Agreements was, "any dispute, claim, or controversy arising out of relating to Employee's employment with CMG, including but not limited to, any claim by the Employee for wrongful termination or employment discrimination" between Defendant CMG and each employee. (Harbourne Decl., at ¶¶ 9, 12, Exhibits A, D at ¶ 3.) Plaintiff does not dispute the scope of the Arbitration Agreement.

Defendant CMG has met its initial burden to establish the existence of the Arbitration Agreement. Accordingly, the burden now shifts to Plaintiff to present facts showing why it should not be enforced. Here, Plaintiff argues that she did not sign either of the two Arbitration Agreements and that the Arbitration Agreements are unconscionable.

Plaintiff's Electronic Signature

A party opposing arbitration by challenging the authenticity of his or her signature "need not *prove* that his or her purported signature is not authentic but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

Plaintiff denies signing any Arbitration Agreement and contends that there is no evidence confirming that the DocuSign signatures on the Arbitration Agreements were placed there by Plaintiff under penalty of perjury in her declaration. (Nampeera Decl. at ¶ 13; Oppo at p. 7: 14-25.) Thus, Plaintiff shifted the burden back to Defendant CMG to authenticate Plaintiff's electronic signature.

2020 Arbitration Agreement

A proponent seeking to authenticate an electronic signature must show the electronic signature "'was the act of the person,'" which could be shown "'in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.'" (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 843, italics omitted; see Civ. Code, § 1633.9, subd. (a).) For example, a party may present evidence that the signatory was required to use a unique, private login and password to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions. (*Garcia v. Stoneledge Furniture LLC* (2024) 102 Cal.App.5th 41, 53; citing *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1062.)

Here, Defendant's VP of HR, Stephanie Persi explains that Plaintiff's signed offer letter which was signed on the same day as the 2020 Arbitration Agreement bore the same Envelope ID number. The Court notes that although Plaintiff denies receiving any arbitration agreement, she does acknowledge that she received her offer letter at her personal email address. (Nampeera Decl. ¶ 3.)

Defendant's Chief of Staff Melissa Harbourne's declaration explains that the 2020 Arbitration Agreement was sent and signed vias Docusign from her personal email address. (Harbourne Decl., at ¶ 11.) Ms. Nampeera's 2020 Certificate of Completion reflects that her IP address at the time of her signing (98.164.217.30) was a mobile device in Rancho Santa Margarita, CA, which is close to where she lived in Irvine. (Harbourne Decl., at ¶ 19.)

The Court reasons that since the Docusign confirmation was from Plaintiff's personal email address with an IP address close to her home in Irvine Defendant has proven by the preponderance of the evidence that Plaintiff was the person who caused the 2020 Arbitration Agreement to be e-signed.

2021 Agreement

Plaintiff argues that she did not sign the 2021 Arbitration based on her company email account not requiring a password to be opened and that during the time the Defendant alleges that is very unlikely she signed it, given that at the time it was signed at 1:07 pm, she would have been fully engaged in responding to emails in the compliance inbox. (Nampeera Decl., at ¶ 12.)

Ms. Harbourne, in her declaration, explains that if an employee was connected to CMG's system via the VPN at the time they signed a DocuSign document, CMG's company IP address associated with that VPN would be reflected on the employee's DocuSign Certificate of Completion as the IP address where the document was signed. Ms. Nampeera's 2021 Certificate of Completion reflects that she was connected to CMG's system via VPN at the time she signed her 2021 agreement. (Harbourne Decl., at ¶ 19.) The Court finds that Defendant has proven by the preponderance of the evidence that Plaintiff was the person who caused the 2021 Arbitration Agreement to be e-signed.

Unconscionability

The "unconscionability doctrine 'has both a procedural and a substantive element.'" (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.) "The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.'" (*Ibid.* quoting *Pinnacle, supra*, 55 Cal.4th at 246.)

"Both procedural and substantive unconscionability must be shown for the defense to be established, but 'they need not be present in the same degree.'" (*OTO, L.L.C.* 8 Cal.5th at 125.) "Instead, they are evaluated on a 'sliding scale.'" (*Ibid.*) "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to 'conclude that the term is unenforceable.'" (*Ibid.*) "Conversely, the more deceptive or coercive the bargaining tactics employed, the less substantive unfairness is required." (*Ibid.*)

"The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Ibid.* quoting *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 912.)

Procedural Unconscionability

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra,* 8 Cal.5th at 126.) "Oppression arises from an inequality of bargaining power that results in no real negotiation and an absence of meaningful choice." (*Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846, 853.) Surprise, for purposes of procedural unconscionability, "involves the extent to which the supposedly agreed-upon terms are hidden in a prolix printed form drafted by the party seeking to enforce them." (*Ibid.*)

Minimal Oppression

A procedural unconscionability analysis 'begins with an inquiry into whether the contract is one of adhesion.'" (*OTO, L.L.C.*, supra, 8 Cal.5th at 126 quoting *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) "An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.'" (*Ibid.* quoting *Baltazar v. Forever 21, Inc.* 2016) 62 Cal.4th 1237, 1245.)

Plaintiff argues that the Arbitration Agreement is procedurally unconscionable under the 'oppression' analysis because The Agreements were pre-printed, standardized forms, and the 2021 Arbitration Agreement was allegedly emailed to Plaintiff with instructions "to review and sign … as a condition of your ongoing employment with CMG." (Oppo at p. 10: 21-23.)

Thus, the Agreement suffers from a baseline amount of procedural unconscionability via oppression.

Lack of Support for Surprise

Arbitration Agreement Buried Among Multiple Documents

Plaintiff argues surprise because Defendant's Arbitration Agreement was buried in Defendant CMG's voluminous handbook hidden 59 pages of Docusign documents. (Oppo at p. 11: 2-4.) As to the 2021 Arbitration Agreement, neither the "Subject" line nor the body text of Ms. Harbourne's April 1, 2021, email calls attention to the Arbitration Agreement, which was allegedly one of many documents to be reviewed and signed as a condition of Plaintiff's ongoing employment. (Harbourne Decl., ¶11, Ex. C.)

The Court respectfully disagrees. *Kinney* describes a Handbook contained in a large three ring binder with an Arbitration Agreement with extensive complicated language in which the plaintiff was pressured to sign that same day. (*Kinney v. United Healthcare Servs.* (1999) 70 Cal.App.4th 1322, 1330.) The Arbitration Agreement did not mention specific details of the policy that unfairly one-sided to the company such as the company was not required to submit claims to arbitration, the company could modify the policy at any time without notice, and the fact the policy significantly limited the plaintiff's procedural and substantive rights. (*Id*.)

This is not the case with the instant Arbitration Agreement. The operative Arbitration Agreement is approximately three pages long with titled provisions. The size and font type are not particularly hard to read. The document does not seem to have overly complicated legal citations or jargon. There are no particularly long paragraphs or sentences.

Scope of the Agreement Materially Changed Without Notice to the Employee

Plaintiff further argues surprise since Defendant arbitration included a moving target since the agreements excluded certain claims from arbitration but then provides, "Nothing in this Agreement shall be interpreted to exclude claims from arbitration that, due to a change in the law, are subsequently permitted to be arbitrated pursuant to California or federal law." (Harbourne Decl., ¶9, Ex. A, at ¶6; Id., at ¶12, Ex. D, at ¶6.) Plaintiff complains that after Plaintiff allegedly agreed to arbitration, the law changed, and portions of PAGA claims may now be sent to arbitration.

This argument does not hold water because Plaintiff's Complaint does not include any PAGA claims. (See Complaint generally.)

While it may be true that there is some procedural unconscionability present in a situation where an Arbitration Provision is offered on a 'take-it-or-leave-it basis,' that alone does not mean an arbitration provision is unconscionable. As California courts have recognized, in the context of adhesion contracts "the inclusion of an arbitration provision is not per se unconscionable, particularly in a commercial transaction….'" (*Lagatree v. Luce, Forward, Hamilton & Scripps* (1999) 74 Cal.App.4th 1105, 1126 quoting *Macaulay v. Norlander* (1992) 12 Cal.App.4th 1, 6.) Even taken together with the contract's adhesive nature, these two features yield a low level of procedural unconscionability. (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472.)

When there is some degree of procedural unconscionability associated with the Arbitration Agreement, the Court is required to more closely scrutinize the substantive provisions of the agreement "'to ensure they are not manifestly unfair or one-sided.' [Citations omitted.]" (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915 ("*Sanchez"*) [quoting *Gentry v. Superior Court* (2007) 42 Cal.4th 443, 469].)

Substantive Unconscionability

Substantive unconscionability may be found where the substantive provisions of the agreement are so overly harsh or unreasonably favorable to the more powerful party that they undermine its neutrality. (*Sanchez, supra,* 61 Cal.4th at 910-11, 913; *Armendariz, supra,* 24 Cal.4th at 117.) Substantive unconscionability focuses on the substantive fairness of the terms and whether the agreement is "unfairly one-sided." (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071; *Baltazar v. Forever 21, Inc., supra,* 62 Cal.4th at 1248.) "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Sanchez, supra,* 61 Cal.4th at 911-12.)

"A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be 'so one-sided as to "shock the conscience." [Citation omitted.]" (*Pinnacle, supra,* 55 Cal.4th at 246 [quoting *24 Hour Fitness, Inc. v. Superior Court* (1998) 66 Cal.App.4th 1199, 1213].)

Arbitration Venue and Demand Process

Plaintiff posits that both the arbitration agreements are substantively unconscionable since they require arbitration to occur "at the JAMS office located closest to CMG's principal place of business in Contra Costa County, California, unless the Parties mutually agree to an alternate location." (Harbourne Decl., ¶9, Ex. A, at ¶3; Id., at ¶12, Ex. D, at ¶3.) Plaintiff relies on *Magno* for their position.

In *Magno*, the California Court of Appeals for the Fourth District agreed with the trial court's finding of, "substantive unconscionability based on the arbitration provision's forum selection clause. The arbitration provision required young college-aged students to travel from San Diego, California to Marion County, Indiana to arbitrate their claims against a company that solicited their business in

California. The court determined requiring plaintiffs to travel to Indiana, or even to arrange to appear through video, would work a severe hardship on plaintiffs and unfairly benefit TCN by effectively preventing plaintiffs from asserting their claims." (*Magno v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 288.) Unconscionable provisions include those "that seek to negate the reasonable expectations of the non-drafting party." (*Sanchez v. Valencia Holding Co.* (2015) 61 Cal.4th 899, 911.) There is nothing in the record to suggest plaintiffs reasonably could have expected at the time of contracting that they would be required to resolve any disputes in Indiana. (*Magno v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 288.)

Here, the subject provision requires a remote working adult who works in Irvine, California to arbitrate her claims at the JAMS office closest to CMG's principal place of business in Contra Costa County. The record here suggests that Plaintiff could have reasonably expected at the time of contracting to be required to resolve any disputes close to the company's headquarters ,within the state of California, as a remote employee.

These facts are distinguishable from *Magno* because the subject provision compels an adult remote worker to arbitrate their claims near the company's headquarters in Northern California while remotely working in Southern California which is markedly different from making young college students from San Diego arbitrate their claims in Indiana. As such, the Court does not find this provision substantively unconscionable.

Arbitration of Sexual Harassment Claims

Plaintiff points out that Defendant concedes, "all of Plaintiff's fourteen causes of action are expressly subject to the [arbitration] agreement," including Plaintiff's causes of action for harassment based on gender pursuant to Cal. Gov't Code §§ 12940, et seq. (Oppo at p. 13: 7-16.) Arbitration agreements purporting to require arbitration of sexual harassment claims are illegal and unenforceable. ((*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 100-101 (vacated on other grounds) ("It is indisputable that an employment contract that required employees to waive their rights under the FEHA to redress sexual harassment or discrimination would be contrary to public policy and unlawful.")

However, as discussed above, this argument does not apply in this case since Plaintiff's Complaint facially only contains factual allegations of racial discrimination and harassment and only threadbare conclusory allegations of racial, gender and/or age discrimination or harassment. (See Complaint generally.) The Court does not find this provision substantively unconscionable.

Class Action Waiver

Under California law, class arbitration waivers are unenforceable if they "pose significant obstacles to the vindication of employees' statutory rights," including the right to enforce labor laws protecting overtime. (*Garrido v. Air Liquide Indus. U.S. LP* (2015) 241 Cal. App. 4th 833, 844.) Under *Gentry v. Superior Court*, a court must consider four factors in determining whether a class arbitration waiver is unenforceable: "the modest size of the potential individual recovery, the potential for retaliation against members of the class, the fact that absent members of the class may be ill informed about their rights, and other real-world obstacles to the vindication of class members' right to overtime pay through individual arbitration." (*Id*. at p. 463.) If the court then finds that class waiver "will likely lead to a less comprehensive enforcement of overtime laws" and that class proceedings would be "a significantly more effective practical means of vindicating the rights of the affected employees," it must invalidate the waiver. (*Id*.)

Here, although Plaintiff does concede the general enforceability of class action waivers, Plaintiff argues that because the provision waives class action and representative claims is not mutual, does increase the level of substantive unconscionability. (Oppo p. 13: 17-27.) Plaintiff does not address the four factors in *Gentry* to determine the enforceability of class arbitration waivers. The Court does not find this provision substantively unconscionable.

On balance, Plaintiff has failed to meet his burden to show that the Mutual Agreement to Arbitrate Claims should not be enforced due to unconscionability. Thus, Defendant's motion to compel arbitration shall be granted.

Stay

Under the FAA, courts must stay an action where "the issue involved in such suit or proceeding is referable to arbitration under an arbitration "agreement." (9 U.S.C § 3.) It is not clear, however, that this provision applies to proceedings in state court. (*Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 477, fn. 6 [noting the United States Supreme Court has not held this provision applies to state court proceedings]; *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 410 [holding "section 4 of the USAA does not apply in California court" but not deciding whether section 3 applies].)

Under the CAA, courts "may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding." (CCP § 1281.2.) In other circumstances, when a court "has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State," the court "shall … stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate." (Code of Civil Procedure § 1281.4.)

Independent of the CAA and FAA, courts have inherent authority to stay proceedings. (*Landis v. North American Co.* (1936) 299 U.S. 248, 254 ["the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants"]; *Nederlandse Erts-Tankersmaatschappij, N.V. v. Isbrandtsen Co.* (2nd Cir. 1964) 339 F.2d 440, 441 [no authority under 9 U.S.C. § 3 to stay action, but stay permitted under district court's inherent power to control its docket]; *Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 ["Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency"].) Even assuming the CAA and FAA neither require nor authorize the court to stay the current claims, the Court would exercise its inherent authority to issue a stay.

Conclusion

Based on the analysis above, Defendant CMG's Motion to Compel Arbitration of claims is **granted**. The Parties are ordered to submit this matter to arbitration in accordance with the terms of the 2021 Arbitration Agreement. The Court orders this matter to be **stayed in full**, pending conclusion of the arbitration.